

25STCV34995 25STCV34995

County: los-angeles
Division: Civil Law and Motion
Department: 733
Hearing date: 2026-08-07
Motion: DEFENDANT'S DEMURRER TO FIRST AMENDED COMPLAINT
Source URL:
https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C733%2C08%2F07%2F2026
Source SHA-256: db3033c071ef1ed1341fe684ec0c14dcaf2d78ac8028136b88d79b0bed770e9f

Case Number: 25STCV34995 Hearing Date: August 7, 2026 Dept: 733

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF LOS ANGELES

CHRISTIAN B. MITMAN,

Plaintiff,

vs.

NEW GLASPRO, INC., a Delaware corporation,

Defendant.

)

)

)

)

)

)

)

)

)

)

)

CASE NO.: 25STCV34995

[TENTATIVE] ORDER RE:

DEFENDANT'S
DEMURRER TO FIRST AMENDED COMPLAINT

Dept. 733

8:30 a.m.

August 7, 2026

I.

INTRODUCTION

On December 2,
2025, Plaintiff Christian B. Mitman ("Plaintiff") initiated this action against
Defendant New GlasPro, Inc. ("Defendant" or "GlasPro").

On February 9,
2026, Plaintiff filed a first amended complaint ("FAC"), alleging causes of
action for (1) Voidable Transfer – Actual Intent, (2) Voidable Transfer –
Constructive Fraud, (3) Restitution/Unjust Enrichment (Quasi-Contract), and (4)
Accounting (Equitable Claim, or in the alternative, as a Remedy.

Plaintiff alleges
the following. Plaintiff and Panelite entered into a written settlement
agreement in or about 2019 under which Panelite agreed to pay Plaintiff
approximately \$544,700. (FAC ¶ 9.) Panelite ceased making required
payments in or about June 2022 while still owing Plaintiff approximately

\$355,793. (Id. ¶ 10.)

After Panelite

defaulted on its obligations to Plaintiff and while Panelite was insolvent and/or failing to pay debts as they came due, Panelite ceased or substantially ceased operations without paying Plaintiff and without applying the value of its remaining assets and business value toward satisfaction of Plaintiff's claim. (Id. ¶ 13.) Among Panelite's valuable commercial assets and business value was the ClearShade - architectural glazing product program. (Id. ¶ 14.)

On information and

belief, Panelite transferred, conveyed, or otherwise made available to GlasPro—directly or indirectly—substantial business assets and business value associated with the ClearShade program, and/or GlasPro assumed and continued Panelite's ClearShade commercial program, during the period from at least June 2022 through Panelite's cessation/substantial cessation (2022) and continuing to the present. (Id. ¶ 15.)

On March 16, 2026,

Defendant filed the instant demurrer.

On July 23, 2026,

Plaintiff filed an opposition.

On July 31, 2026,

Defendant filed a reply.

II.

LEGAL STANDARD

A demurrer is an

objection to a pleading, the grounds for which are apparent from either the face of the complaint or a matter of which the court may take judicial notice.

(Code Civ. Proc., § 430.30, subd. (a); see also *Blank v. Kirwan* (1985)

39 Cal.3d 311, 318.) The purpose of a demurrer is to challenge the sufficiency of a pleading "by raising questions of law." (*Postley v. Harvey* (1984)

153 Cal.App.3d 280, 286.) "In the construction of a pleading, for the purpose of determining its effect, its allegations must be liberally construed, with a view to substantial justice between the parties." (Code Civ. Proc., § 452.) The

court “treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law . . .” (Berkley v. Dowds (2007) 152 Cal.App.4th 518, 525.)

When a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (Ibid.; Lewis v. YouTube, LLC (2015) 244 Cal.App.4th 118, 226.)

III.

JUDICIAL NOTICE

Defendant requests
for the Court to take judicial notice of the following pursuant to

Evidence Code sections 452(d) and
453:

-

Chapter 7 Voluntary Petition (Official
Form 101) and schedules filed September 19, 2024 in In re Christian Bixler
Mitman, U.S. Bankruptcy Court, Central District of California, Case No.
2:24-bk-17611-DS, including Schedule A/B

-

Schedule C (Property Claimed as Exempt)
filed September 19, 2024 in In re Christian Bixler Mitman, U.S. Bankruptcy
Court, Central District of California, Case No. 2:24-bk-17611-DS

-

Order of Discharge entered December 23,
2024 in In re Christian Bixler Mitman, U.S. Bankruptcy Court, Central District
of California, Case No. 2:24-bk-17611- DS

-

CM/ECF Docket Report for In re Christian
Bixler Mitman, Case No. 2:24-bk17611-DS (U.S. Bankr. Ct., C.D. Cal.)

The Court grants

Defendant's request.

IV.

DISCUSSION

Defendant demurs

to the entirety of the FAC on the grounds that (1) the claims asserted

against Defendant belong to

Plaintiff's Chapter 7 bankruptcy estate; and (2) the FAC does not sufficiently

allege a that an actual transfer had occurred under the Uniform Voidable

Transaction Act (UVTA).

1.

Real Party-in-Interest

Defendant argues

that Plaintiff is not the real party-in-interest, but rather the claims

Plaintiff alleges against Defendant

belong to Plaintiff's bankruptcy estate.

The real party in interest is the person who owns or holds

title to the claim or property involved as opposed to others who may be

interested or benefitted by the litigation. (*Gantman v. United*

Pacific Insurance Co. (1991) 232 Cal.App.3d 1560,

1566; *Jasmine Networks, Inc. v. Superior Court* (2009)

180 Cal.App.4th 980, 991; see also *Bostonian v. Liberty*

Savings Bank (1997) 52 Cal.App.4th 1075, 1079.)

Here,

Plaintiff alleges that he filed a Chapter 7 bankruptcy case on or about

September 19, 2024 (the "Chapter 7 Case"). (FAC ¶ 20.) In the Chapter 7 Case,

Plaintiff disclosed and scheduled Plaintiff's judgment/claim against Panelite

(including the action identified as *Mitman v. Panelite, LLC*, Los Angeles

Superior Court Case No. 22STCP04500) in Plaintiff's schedules. (Id. ¶

21.) The Chapter 7 trustee did not administer the scheduled Panelite judgment

asset, filed a Report of No Distribution, and the Chapter 7 Case was thereafter

closed and discharge entered. (Id. ¶ 22.)

In Chapter 7

bankruptcy, a debtor's pre-petition cause of action becomes property of the bankruptcy estate as of the petition date, even if the debtor fails to list the cause of action as an asset in his bankruptcy schedules. (See *In re Lopez* (Bankr. 9th Cir. 2002) 283 B.R. 22, 28, citing 11 U.S.C. §§ 541; 554, subd. (d); *Cloud v. Northrop Grumman Corp.* (1998) 67 Cal.App.4th 995, 1001 ["The widely accepted rule is that after a person files for bankruptcy protection, any causes of action previously possessed by that person become the property of the bankrupt estate."].) If an asset is not scheduled, it remains property of the estate until it is administered or abandoned by the trustee, even after the case subsequently closes. (See *In re Lopez*, *supra*, 283 B.R. at pp. 31–32.) In other words, the cause of action is property of the estate and not the debtor, until and unless the bankruptcy trustee. (See *id.* at p. 28.)

According

to Plaintiff's FAC, he alleges that he first learned of the New GlasPro theory in January 2025. (FAC ¶ 26.) According to Defendant's judicially noticed documents, the bankruptcy did not close until October 30, 2025. (RJN Ex. 4.) During that period, Plaintiff could amend his schedules as a matter of course. (Fed. R. Bankr. P. 1009(a).) He did not do so. The schedules continued to identify only the Panelite lawsuit/judgment and continued to answer "No" as to other contingent and unliquidated claims. (RJN Ex. 1, Schedule A/B, lines 33-34; see also Ex. 2, p. 2.)

While

the Chapter 7 Case closed, property is abandoned by operation of law at case closing only if it was "scheduled under section 521(a)(1)." (11 U.S.C. § 554(c).) Property that is neither administered nor abandoned remains property of the estate. (*Id.* § 554(d); *In re Stevens* (9th Cir. 2021) 15 F.4th 1214, 1217 ["Unless property is abandoned, it continues to belong to the bankruptcy estate and [does] not revert to' the Debtors."] (citation omitted).) Section 554(c) requires disclosure on a literal schedule, which as stated above, did not happen here. (*In re Stevens*, *supra*, 15 F.4th at p. 1217 ["before it can be abandoned under § 554(c), property must be 'scheduled under section 521(a)(1).'" (citation omitted).])

While

property of the estate could be abandoned through trustee or court action, there are no allegations in the FAC to suggest that these circumstances are present here. (11 U.S.C. § 554(a)-(b).)

The

demurrer is sustained on the ground that, as the FAC is pleaded, Plaintiff's claims belong to the bankruptcy estate.

The Court finds

that there is a reasonable possibility of amendment. (Garrison v. Board of Directors (1995) 36 Cal.App.4th 1670, 1678 [“A suit is sometimes brought by a plaintiff without the right or authority to sue, and the amendment seeks to substitute the real party in interest. Although the original complaint does not state a cause of action in the plaintiff, the amended complaint by the right party restates the identical cause of action, and amendment is freely allowed.”].) Plaintiff can request to “reopen her bankruptcy case in order either to substitute the trustee as real party in interest or to obtain the trustee's abandonment of her claim.” (Cloud, supra, 67 Cal.App.4th at p. 1008.)

V.

CONCLUSION

Based on the

foregoing, Defendant's demurrer is SUSTAINED in its entirety with thirty (30) days leave to amend.

Dated this 7th

day of August 2026

Hon. Gary D.

Roberts

Judge of the

Superior Court